

models, leveraging alternative information sources, payment histories, and supply-chain financing. These innovations help offer tailored financing solutions and make capital more accessible to MSMEs, thereby fuelling their growth. The numbers also reflect this. According to data from the RBI, credit provided by non-banking financial companies (NBFCs), including fintechs, to the MSME sector has grown three times faster than that of banks (*see chart*). To facilitate credit, fintechs are partnering with NBFCs or working as standalone entities with their own lending licences. Let's take a closer look at the credit revolution in the MSME industry.

## THE FINTECH REVOLUTION

A majority of MSMEs in the country face challenges in managing their fixed and working capital requirements. Traditional banks can be a viable choice, but their processes are quite cumbersome and rigid for the ever-changing MSME industry. "Banks typically offer lower interest rates due to their ability to leverage customer deposits for lending. However, the process is often more stringent, with extensive documentation requirements and longer approval times, which can be a hurdle for MSMEs needing quick access to capital," says Anuj Pandey, Chief Risk Officer at U GRO Capital, a tech-based lending platform.

Moreover, banks often lack confidence in small businesses.

Ironically, these are the businesses that require credit the most in order to grow. Incidentally, financial advisory firm Avendus Capital Private Ltd in its latest report on MSME lending said the sector is facing a credit gap estimated to be around \$530 billion. Thanks to digital platforms, it's now easier for MSMEs to access capital. Their method, nonetheless, is intriguing.

Fintechs like Lendingkart, OPL, and U GRO are

## EVERY LITTLE BIT HELPS



**India has over 60 million micro, small, and medium enterprises (MSMEs), with only 14% having access to formal credit**



**Fintechs are filling up this payment gap by providing quick, unsecured loans using alternative data and advanced analytics**



**They also offer supply chain financing by providing trade credit solutions to MSMEs**



**Fintechs in the payments space offer loans to MSMEs and leverage information on their credit profiles through payment histories**



**Registration with Udyam and GST enhances MSMEs' credibility and access to financial support**

using alternative credit sources and advanced analytics to provide credit to MSMEs. Efforts are being made to streamline the loan application process, ensuring that credit solutions are faster and more accessible for traditionally underserved borrowers. They are compiling data from various sources, such as social media and mobile apps, GST data, income tax returns, bank statements and credit scores, to determine the creditworthiness of a borrower. "By using digital technology, alternative credit sources, and advanced analytics, fintech companies help emerging businesses secure funds quickly," says Jinand Shah, MD & CEO of OPL, a digital lending firm.

Harshvardhan Lunia, Founder & CEO of Lendingkart Group, emphasises the significance of utilising alternative data sources and advanced analytics to assess creditworthiness. Fintechs providing an end-to-end digital customer experience is "game-changing," he says. "This process is not just fast and easy, but unbiased too," he adds. Lendingkart, which operates as an RBI-registered NBFC and mainly provides loans to MSMEs, has disbursed more than ₹19,000 crore since its inception in 2014 to over 14,800 pin codes across the country.

There is another set of MSMEs that operates within the supply chain. Even with the abundance of data, many MSMEs still face significant challenges in accessing low-cost credit. This is where fintechs like Vayana help MSMEs by offering a range of trade credit and trade

enablement solutions. Vayana facilitates the connection between corporates and their trade ecosystems, offering them a cost-effective way to access credit for their payables and receivables.

"If I go to the big brand and, through their distribution chain find out where a seller is on the supply chain, I can determine if a seller has been active for the last two to three years and whether one has been regularly pay-